

by airports and airlines. They also face regulatory challenges in day-to-day operations. It would be important to address their demands and need for financial sustainability. Cargo processing would need to be completely paperless and dwell times would need to be reduced to global standards. Greater attention could be given to challenges faced by India's general aviation sector in terms of multiplicity of approvals, operational restrictions, fractional ownership, and taxation etc.

Make in India: Domestic manufacturing of aircraft and components would need to be taken up

MRO expenditure flowing out of the country. Indian MRO providers compete against global MRO hubs, many of whom enjoy zero taxes and zero airport royalties. Treating end-of-lease redelivery check as a 'deemed export' could help bring this business to India. The government-owned AIESL has good infrastructure, knowledge and people. Its divestment, like its parent airline, could help to strengthen the MRO sector.

Lease in India: Leading Indian financial institutions could invest more deeply in the growing aircraft leasing business. They could

Sight (BVLOS) operations, e.g. in logistics, imaging and drone taxis; and enabling these could be prioritised.

Skill in India: The expansion in Indian aviation will need a robust talent pipeline. The industry could collaborate with IITs, IIMs, universities, flying schools and other institutions to make India a regional talent hub. Leading airlines and airports may establish their own training institutions or acquire existing ones. Civil-military collaboration can enable reemployment of highly trained military pilots, engineers, drone operators, ANS personnel and ground staff in the private sector.

Sustainable aviation: Two leading Indian airports have achieved the highest Level 5 of Carbon Accreditation of the Airports Council International. Others would need to emulate this at the earliest. India has set a target of 1% Sustainable Aviation Fuel (SAF) blend by 2027, 2% by 2028, and 5% by 2030. This opens growth opportunities for India's bio-fuels and agriculture sector.

Passenger experience: Leaders of the Indian aviation industry would need to engage closely with the government, regulators and the traveling public. Addressing passenger concerns around safety, security, connectivity, affordable tickets, timely grievance redressal, etc., would be important.

The Indian aviation industry is at the cusp of breakout growth. Many macro issues have been resolved. The journey to becoming a global aviation hub by 2030 may face some challenges, but with a determined approach and close collaboration between the industry, government, academia and other stakeholders, India has the potential to surprise the world. **BT**

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on priority, like in the space sector. A combination of Production Linked Incentives (PLIs), fiscal incentives, and defence orders with larger offset commitments from original equipment manufacturers (OEMs) could support the production of aerospace-grade raw materials and provide a safety net to Tier I and II suppliers from high liabilities. The aerospace ecosystem would need to be consolidated at three to four locations rather than being fragmented. Leading aerospace players in India could consider increasing their R&D spend, enhancing design capabilities and exploring global acquisitions.

Repair in India: Despite several policy reforms, MRO lags in India, with nearly 85% of Indian carriers'

also look at setting up branches in global aircraft leasing hubs like Ireland—through the inorganic route. Repossession of aircraft by lessors could be made seamless in line with the Cape Town Convention, 2001, and global best practices. This could help build trust and reduce the high leasing charges that Indian carriers incur.

Unleashing a drone revolution: Drones could potentially transform the future of the aviation industry. The sector has received support through initiatives like the liberalised Drone Rules, 2021, PLI scheme, agri-drone subsidies, etc. It would need to evolve from an assembly hub to a design hub and reduce its dependence on imported components. Drones can have real impact in Beyond Visual Line of